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Read less news

Good morning, Pro Briefers!

Every time you ask ChatGPT a question or stream a show on Netflix, you're using a data center somewhere.

What's that? Data centers are large warehouses of servers that store and transmit data.

These massive buildings are filled with thousands of servers and need one thing above all else: Lots of power.

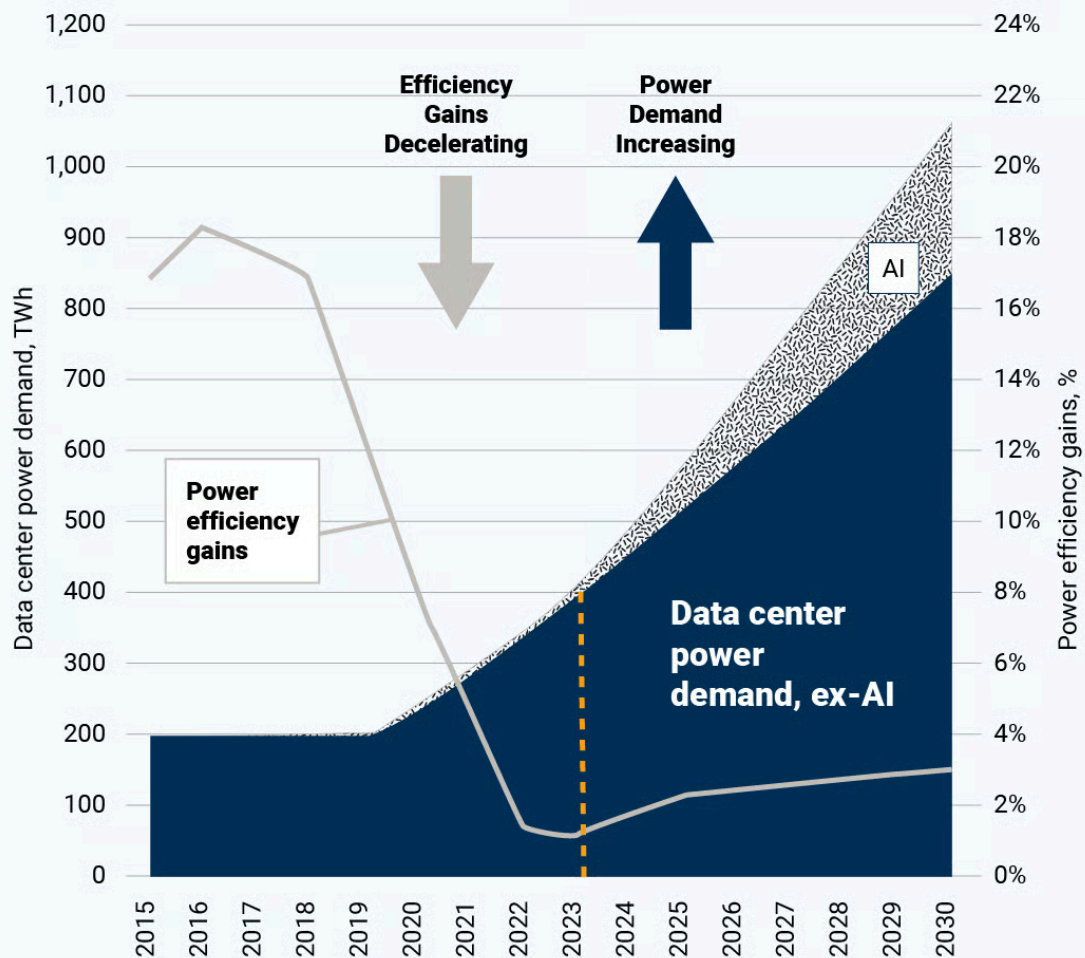
- A single AI data center can consume enough electricity to power 80,000 homes.

Data centers have been around for years, but with the rise of AI, companies are building hundreds of them right now, with plans to build even more in the future.

AI data centers are creating a change in the U.S.'s demand for electricity, as well as tightening grid capacity.

And the U.S. power grid can't keep up...

Data center power demand and efficiency over time



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Data [via](#) Goldman Sachs

Connecting a new AI data center to the grid takes years, as it's taking old, outdated tech and linking it to new, advanced tech.

That's like trying to connect a fax machine to your phone...

Not to mention, regulations and supply shortages to build data centers have slowed down the process.

Companies like Amazon, Microsoft, and Google don't have years. They have millions of customers and cannot afford to have outages.

Earlier in 2025, we reported that nuclear power or putting data centers on the moon may be long-term solutions to this data center energy problem.

However, those solutions are not quite ready for widespread use, and are at least a few years away from major adoption, if not a decade or more.

For now, natural gas turbines are the fastest and most scalable energy technology.

Gas Turbine Market



GLOBAL STATISTICS

Market Value (2023)

\$16.7 BN

Market Value (2034)

\$30.4 BN

CAGR (2023-2034)

5.5%

SEGMENT VALUATION

**Open cycle
gas turbine**

CAGR (2023-2034)

4.5%

**Aero-derivative
gas turbine**

Market Share (2023)

>20%

REGIONAL ANALYSIS

**North
America**

Market Size (2023)

\$2.3 BN



This is where we've identified an Innovation Shift:

Multi-year investments by data center operators into the gas turbine industry are boosting producers of these industrial turbines, as well as their supply chains, creating opportunities for investors to profit.

Companies building data centers are signing long-term contracts with turbine manufacturers right now.

That's causing deal backlogs to grow, revenues to rise, and share prices to appreciate in value, something our analysts believe will continue until there's a better, more practical power solution.

Let's break down which companies will benefit the most from this shift.

ANALYST REPORT

Tickers we're tracking:

Turbines: GEV

Energy islands: BKR

Materials: HXL

BRIEF CONTEXT

The Power Problem

Why gas turbines? They solve an immediate problem: You can install them on-site or nearby, and they start generating power within months instead of years.

Plus, these turbines:

- Provide efficient and continuous power.
- Have minimal downtime.
- Are faster to deploy.

- Have been around a lot longer than other types of energy, with clear regulations and policies already in place.

Without reliable power, hyperscalers cannot run their AI data centers.

- Hyperscalers are the big tech companies: Amazon, Microsoft, Google, Meta - that operate massive cloud computing and AI infrastructure.

These gas turbines are considered "dispatchable capacity" - power that can be turned off and on at will.



Image *via* GE

In English: Power is adjusted to meet demand.

This is different from wind and solar, which generate power based on weather conditions.

You can't turn on the sun when your data center needs more electricity.

As a result, demand is increasing for these turbines, which is making it more difficult for companies to get their hands on them and the parts critical to their repair.

Now, investments are being made to stay ahead of the game, leading to long-term contracts that provide predictable revenue through backlogs.

That's because energy demand isn't just increasing - it's increasing faster than previous projections.

So demand is rising for natural gas turbines that can solve this problem.

TURBINES

Gassing up Data Centers

GE Vernova (GEV) is a world leader in the production of gas turbines.

GEV's gas turbine business has been around for over 60 years, with early projects dating back to the 1940s.

This makes it deeply entrenched in the industry, its innovations, and the regulations that impact it.

But why should investors get excited by GEV?

One word: Speed - built on decades of infrastructure that gives it a strong moat.

GEV can provide these AI data centers with power on very short notice, making them a key partner that can scale with the hyperscalers.

- It can install its turbines sometimes in days and begin to generate power within 5 minutes.

GEV also has longstanding partnerships with natural gas suppliers, such as Chevron, that they are leveraging to create on-site or near-site power solutions.

- Chevron is the 7th largest natural gas producer in the world by revenue.

GE Vernova Consolidated & Combined Statement Of Income (Loss) (Unaudited)

(In millions, except per share amounts)	Three months ended september 30		Nine months ended september 30	
	2025	2024	2025	2024
Sales of equipment	\$ 5,880	\$ 5,290	\$ 14,971	\$ 13,101
Sales of services	4,089	3,623	12,141	11,276
Total revenues	9,969	8,913	27,112	24,376
Cost of equipment	5,165	5,076	13,346	12,621
Cost of services	2,906	2,728	8,553	7,794
Gross profit	1,897	1,109	5,213	3,962
Selling, general, and administrative expenses	1,221	1,226	3,594	3,366
Research and development expenses	310	243	832	717
Operating income (loss)	366	(359)	787	(122)
Interest and other financial income (charges) - net	44	36	141	82
Non-operating benefit income	115	130	340	399
Other income (expense) - net (Note 18)	221	71	455	1,025
Income (loss) before income taxes	746	(122)	1,723	1,385
Provision (benefit) for income taxes (Note 15)	293	(23)	514	310
Net income (loss)	453	(99)	1,209	1,075
Net loss (income) attributable to noncontrolling interests	(1)	3	11	(7)
Net income (loss) attributable to GE Vernova	\$ 452	\$ (96)	\$ 1,220	\$ 1,068

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Data via company 10-Q

Demand for the turbines has created a significant backlog for GEV, leading to sustainable long-term revenue as well.

The company is also innovating - developing hydrogen-powered turbines which could be a more sustainable solution for companies going forward.

GEV's shares are up more than 100% over the last 12 months as of October 23, 2025, and nearly 400% since it spun off from GE on April 2, 2024.

The stock is still young but the company has been around for a generation, building a proven business model for gas turbines that our grid has used for decades.



Image [via](#) Yahoo! Finance

And now, AI data centers are partnering with GEV, using an old-school solution to power our future data needs.

Note: In the past month it's down from recent highs, mostly due to supply chain disruptions caused by tariffs and conflicts in the Red Sea and between Russia and Ukraine.

As data center operators continue signing contracts for gas turbines, GE Vernova has positioned itself as a potential opportunity for investors looking to profit from this shift.

ENERGY ISLANDS

Islands of Energy

Beyond turbines, AI data centers are also using energy islands.

No, not like a literal island - these are self-contained power systems that are built to serve a specific site or cluster, like data centers or an office park.

The goal: Bypass the larger energy grid with a self-sustaining solution.

With energy islands, they produce the energy needed for the site or cluster, so no power is being drawn from the larger grid.

Baker Hughes (BKR), specializes in creating energy islands.



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Data *via* GE Vernova

Their product line, the NovaLT, is an industrial gas turbine which it has designed for data centers.

The company sells these setups as packages with turbines coming with generators, and they are often tuned specifically for data center needs.

The NovaLT runs off natural gas, as well as various hydrogen blends in an attempt to future-proof the packages.

Baker Hughes Company

Condensed Consolidated Statements of Income (Loss) (Unaudited)

(In millions, except per share amounts)	Three Months Ended September 30		Nine Months Ended September 30	
	2025	2024	2025	2024
Revenue:				
Sales of goods	\$ 4,613	\$ 4,413	\$ 13,273	\$ 12,963
Sales of services	2,397	2,495	7,074	7,502
Total revenue	7,010	6,908	20,347	20,465
Costs and expenses:				
Costs of goods sold	3,593	3,459	10,525	10,392
Costs of services sold	1,716	1,749	5,031	5,286
Selling, general and administrative	607	612	1,751	1,873
Research and development costs	146	158	453	480
Other (income) expense, net	71	(134)	77	(182)
Interest expense, net	56	55	161	143
Income before income taxes	821	1,009	2,349	2,473
Provision for income taxes	(204)	(235)	(612)	(656)
Net income:	617	774	1,737	1,817
Less: Net income attributable to noncontrolling interests	8	8	25	17
Net income attributable to Baker Hughes Company	\$ 609	\$ 766	\$ 1,712	\$ 1,800
Per share amounts:				
Basic income per Class A common stock	\$ 0.62	\$ 0.77	\$ 1.73	\$ 1.81
Diluted income per Class A common stock	\$ 0.61	\$ 0.77	\$ 1.72	\$ 1.80



Data [via](#) company 10-Q

Baker Hughes has secured major contracts for NovaLT turbines, positioning them as a key supplier in this space.

It's also been selling and testing the product since 2013, with its first commercial turbine unit built for data centers going out in 2019.

This gives them almost a decade of experience in the AI data center space, with infrastructure and partnerships that are difficult for newcomers to compete with.

What separates them from GEV? *The focus on energy islands.* GEV creates individual gas turbines for on-site power.

Energy islands from Baker Hughes need to be near the specific site, but not immediately near, allowing for flexibility in the construction process.



Data [via](#) Yahoo! Finance

These islands can also scale based on the data center's energy needs, providing them with a different moat than GEV.

Shares of Baker Hughes are a bit less volatile than those of GE Vernova.

The stock has been a slow but steady outperformer of the S&P 500 - up 31% in the last 12 months as of October 23, 2025 and 226% in the last 5 years.

For investors looking at companies supplying power solutions directly to data centers, Baker Hughes may be another potential opportunity worth watching.

MATERIALS

The OEM Hedge

Gas turbines, producers and energy island builders have direct exposure to this shift.

- GE Vernova and Baker Hughes are also both larger companies that operate in multiple industries.

But there are also opportunities further down the supply chain that investors may want to consider as well.

Why? These turbines will need replacement parts when they break - not to mention, better technology in the future means they'll need to be upgraded.

So the materials to build the turbines will be crucial as this shift progresses - we've identified advanced materials company **Hexcel (HXL)** as a solid investment option.

Hexcel is an advanced materials company - it creates carbon fiber and resin systems for aerospace, defense, and most recently, industrial gas turbines.

Hexcel Corporation and Subsidiaries

Condensed Consolidated Statements of Operations

	Unaudited		Unaudited	
	Quarters Ended September 30		Nine Months Ended September 30	
(In millions, except per share data)	2025	2024	2025	2024
Net sales	\$ 456.2	\$ 456.5	\$ 1402.6	\$ 1,429.2
Cost of sales	356.3	350.0	1,088.8	1,077.9
Gross margin	99.9	106.5	313.8	351.3
Selling, general and administrative expenses	41.1	39.8	127.4	128.7
Research and technology expenses	14.0	13.8	42.1	43.6
Other operating expense	8.8	0.4	34.1	1.8
Operating income	36.0	52.5	110.2	177.2
Interest expense, net	9.2	8.5	26.1	23.1
Other income	—	—	(0.5)	—
Income before income taxes	26.8	44.0	84.6	154.1
Income tax expense	6.2	4.2	21.6	27.8
Net income	\$ 20.6	\$ 39.8	\$ 63.0	\$ 126.3
Basic net income per common share	\$ 0.26	\$ 0.49	\$ 0.78	\$ 1.53
Diluted net income per common share	\$ 0.26	\$ 0.49	\$ 0.78	\$ 1.52
Weighted-average common shares:				
Basic	79.8	81.5	80.4	82.6
Diluted	80.3	82.1	80.9	83.3



Data via company 10-Q

In simple terms: Hexcel makes numerous parts that go into turbines, such as turbine ducts, insulation panels, and thermal barriers.

Data centers keep pushing the limits, generating more heat and requiring more energy.

As these limits are pushed, the equipment needs to get more advanced.

This means that older materials just aren't cutting it, and the turbine original equipment manufacturers (OEMs) like GEV and Baker Hughes need to use

more advanced materials like those produced by Hexcel.

However, even though its revenue from turbines is increasing, 70% of its revenue is still coming from the aerospace industry.

- This means that if the adoption of advanced materials is slower than expected, Hexcel could be protected by its aerospace contracts.

Hexcel shares were up as high as 15% on October 23, 2025 mainly from expanding defense contracts.

Note: This is a more speculative investment than the others.



Shares of Hexcel have been stagnant to bearish over the last few years and struggled in 2025, until Q3 earnings showed revenue guarantees that were larger than expected.

- It signed a long-term contract with defense company Kongsberg for \$15 billion in June 2025, and also extended its contract with Airbus in 2025 as well.

As of October 23rd, 2025, it's up more than 12% year-to-date.

This is evidence that its work in aerospace can benefit the company now, with the gas turbines potentially boosting it at a later date.

Investors may be able to gain partially from this shift with Hexcel, while it builds its backlog and still has protection from aerospace contracts.

RISKS

Losing Energy

Changing policy is a big risk to investors and this shift.

Currently, there is no regulation about the construction and distribution of these small gas-powered energy sources, but there could be in the future.

The price of natural gas also fluctuates with demand - rising gas costs could spell trouble for the industry.

But if options like immersion cooling, space data centers, or nuclear power become more viable, there won't be a need for these gas turbines.

- We've reported on the growing viability of those options earlier in 2025.

Finally, the supply chains for this shift aren't currently strained, but that may not be the case as demand rises dramatically.

We just don't know what energy demand will look like in the future - there's a chance that supply may never keep up with demand.

REVIEW

AI Data Centers 🤝 Energy Resources

From search engines to social media and more, every cloud backup runs through a data center somewhere.

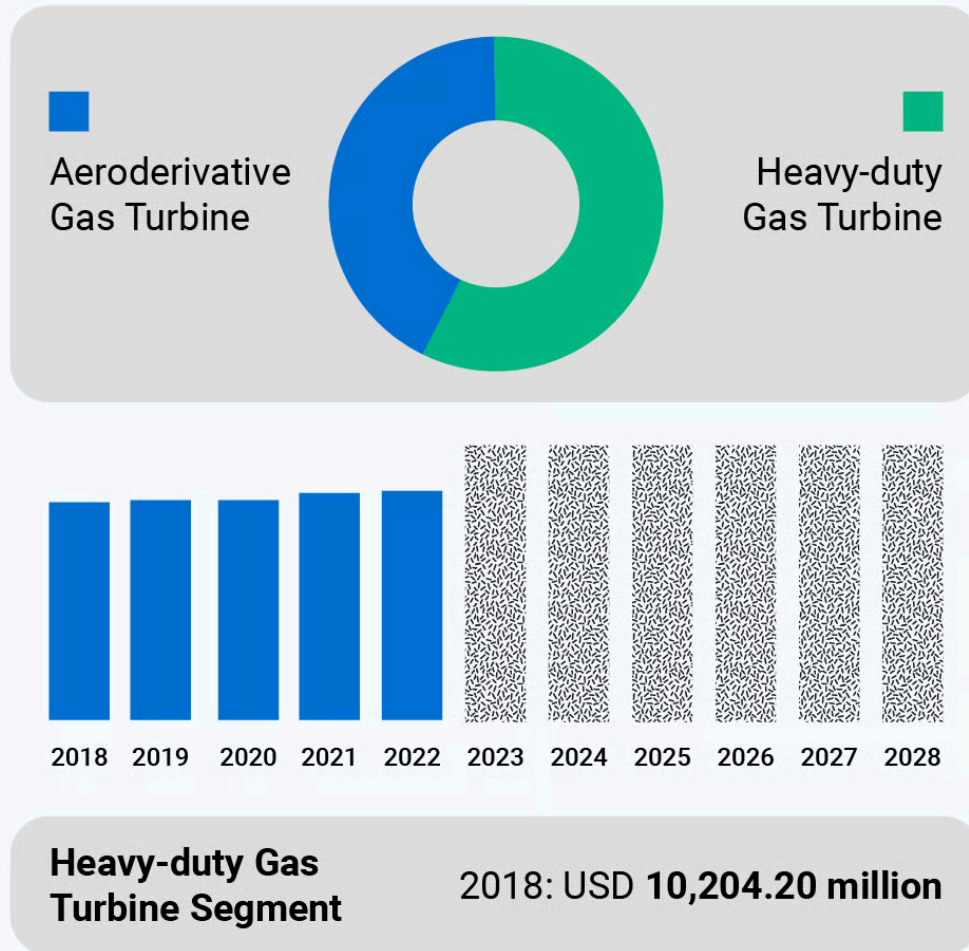
Data centers need more power and the grid can't keep up - that's leading companies to turn to gas turbines to supply the power they need, while renewable and nuclear catch up.

GE Vernova and Baker Hughes are the leaders in this space, with significant backlogs of orders from data center operators.

Hexcel provides exposure to the shift through advanced materials while hedging with aerospace contracts.

Gas Turbines Market For Power Industry

Share by Product (USD million)



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Data *via* Technavio

These are the companies that provide the infrastructure to data centers - without them, companies would have serious power problems.

As energy demand continues outpacing grid capacity, companies providing immediate power solutions may offer investors a way to benefit from the AI boom's energy demand.

Watch for contract announcements from data center operators, backlog growth at turbine manufacturers, and policy changes around on-site power generation.

Those opportunities will continue to grow around this demand, leading to more potential chances for investors to profit from the ongoing AI boom.



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Briefs Media, LLC, 100 Renaissance Ctr Ste 1014 #43212 , Detroit, Michigan 48243, United States